THE HARD ASSET LETTER — TIDEBRIDGE'S PUBLICATION

Gold's Oldest Habit: The Deep Dive

The history, the machinery, the policy watch and the technical map — for readers who asked

Companion to Letter No. 1 | June 2026 | For information and education — not investment advice

Thank you for requesting this deep dive. It extends the first issue of The Hard Asset Letter in four directions: the full fifty-year dataset behind the letter's crisis table; the real-rate machinery in greater depth; a framework for reading the policy debate now gathering around the Federal Reserve; and a technical map of the levels professional traders are watching. Historical figures are approximate and drawn from public sources; nothing herein is a recommendation, forecast, or offer.

1. The Full Fifty-Year Record

The letter showed what gold did in each crisis dip and the year that followed. The complete dataset adds a dimension the summary omits: what gold had done **before** each episode. The table below measures the metal's performance over the twelve and twenty-four months leading into each pre-crisis peak, the peak-to-trough decline, and the recovery twelve and twenty-four months out of the low.

Episode	Peak → Low	12M before	24M before	Peak-to-trough	+12M	+24M
1973 OPEC embargo	Jul-73 → Nov-73	+92%	+210%	**-29%**	**+100%**	+58%
1979 Iranian Revolution	Oct-78 → Nov-78	+54%	+110%	**-19%**	**+99%**	+219%
1991 Gulf War	Aug-90 → mid-91	+13%	-4%	**-14%**	-3%	+8%
2001 September 11	Sep-01 → Nov-01	+7%	+11%	**-7%**	+17%	+45%
2016 washout	Sep-11 → Dec-15	+54%	+92%	**-46%**	+8%	+21%
2018 washout	Apr-18 → Aug-18	+7%	+10%	**-15%**	+29%	+67%
2020 COVID	Mar-20 → Mar-20	+31%	+29%	**-15%**	+20%	+34%
2022 Fed / Ukraine	Mar-22 → Sep-22	+22%	+38%	**-22%**	+20%	+65%
2026 (in progress)	Jan-26 → ?	**+104%**	**+175%**	**-25% so far**	?	?

Exhibit 1 — Gold around crisis peaks and washout lows, 1973–2026. Approximate London fix/spot; sources: LBMA, author calculations. Past performance is not indicative of future results.

Read down the 'before' columns and the present episode finds its true relatives. The corrections of 2016, 2018 and 2022 arrived after flat or modestly higher markets. Only the two episodes of the 1970s were preceded by an advance of the magnitude seen into January 2026 — and those two episodes share something else with the present: each was set in motion by an oil shock that pushed inflation up faster than the monetary response. The 1991 entry is preserved deliberately. It is the episode that proves conflict alone settles nothing, and it anchors the final section of this document.

2. The Engine Room, Extended

The letter's third plate compressed five decades into a single relationship: gold and the real short rate — the policy rate minus inflation. The mechanism deserves a fuller statement, because everything else in this document hangs from it.

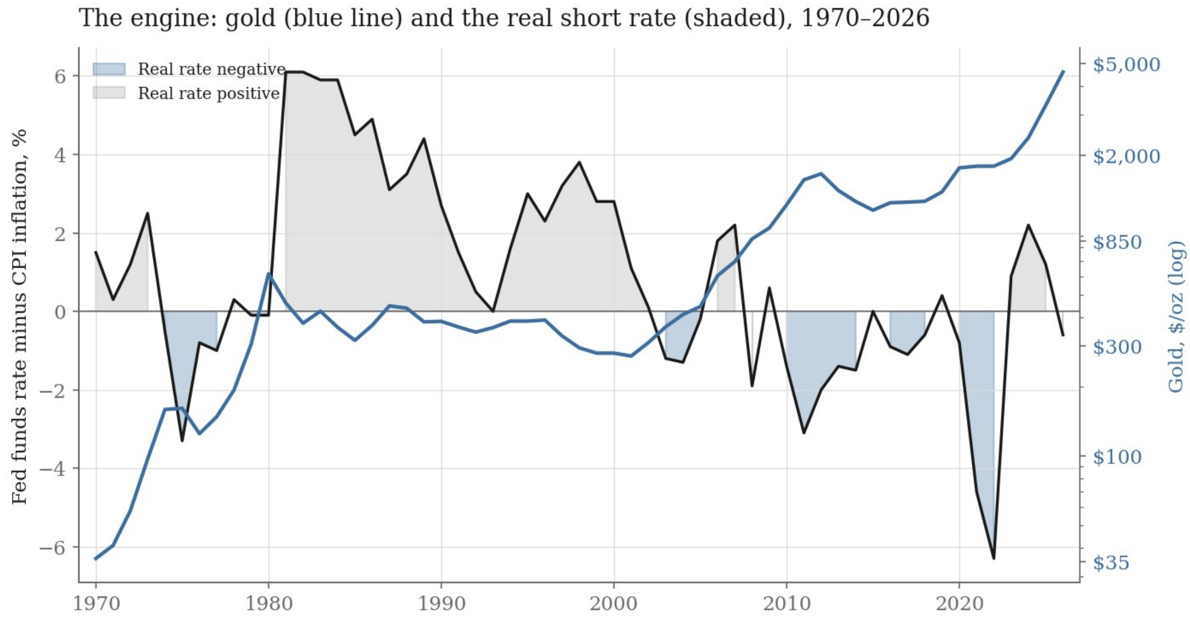

Exhibit 2 — Gold (blue line, log scale) and the real short rate (Fed funds minus CPI; shaded where negative), 1970–2026. Indicative annual data: Federal Reserve, BLS, LBMA, author calculations.

Gold pays nothing. Its competition is the risk-free rate, and the contest is decided in real terms. When cash earns visibly more than inflation, gold carries a real cost every year it is held; capital drains from it slowly and relentlessly, which is the story of 1980–2000. When cash earns less than inflation, the calculus inverts: every alternative is losing purchasing power, and the asset with no yield, no issuer and no default becomes the one asset that cannot disappoint. The 1970s were the extreme case — nominal rates that rose repeatedly but never caught the inflation created by two oil shocks, real rates pinned deeply negative, and a seventeen-fold decade for the metal.

The configuration of mid-2026 sits at the hinge. Consumer inflation has accelerated above four per cent on the energy shock while the policy rate stands in the mid-threes: the real short rate has slipped below zero for the first time since 2022, in the same quarter that gold corrected by a quarter. Whether that gap closes from the rate side or widens from the inflation side is the single most consequential question in the gold market — which is precisely why the next section matters.

3. The Policy Watch: Easing Without Easing

The Federal Reserve meets on 16–17 June under a new chairman, with markets priced for tension: strong employment data has lifted the probability assigned to rate *hikes* even as the administration that appointed the chairman has made its preference for lower rates unambiguous. The conventional reading frames this as a binary — hike and fight the inflation, or cut and accommodate it. There is a third path, and it is the one worth listening for, because the new chairman's long-stated views point directly at it: **a central bank can ease financial conditions substantially without touching the policy rate at all**, by redesigning the plumbing instead.

3.1 The mechanics of the third path

Two instruments dominate that toolkit, and they fit together like lock and key. The first is **interest on reserves**. The Federal Reserve currently pays banks roughly the policy rate on more than three trillion dollars of reserve balances — over one hundred billion dollars a year, an arrangement the new chairman has criticised for years as a subsidy that pays banks to sit still. Eliminating or sharply reducing it does three things at once: it pushes banks out of idle reserves and into Treasury bills, loans and money markets, compressing front-end yields; it restores the Fed's remittances to the Treasury, easing the federal interest bill; and it can be presented politically as ending a subsidy to banks rather than as monetary accommodation. The second instrument is the **supplementary leverage ratio**. Exempting Treasuries and reserves from the strictest leverage rules — offered to the banks as compensation for losing interest on their reserves — expands, almost without limit, the balance-sheet capacity of the banking system to warehouse government debt. A durable, regulatory-mandated bid for Treasuries appears; term premia compress; the government's financing constraint loosens.

Neither step is a rate cut. Together they are functionally equivalent to one — financial conditions ease, the yield curve is capped from above, and the Treasury's debt service is suppressed — while the policy rate, the only number the evening news reports, stays untouched or even rises. Dovish without easing. There is an honest technical complication worth knowing: interest on reserves is, today, the very tool by which the Fed controls its policy rate in an ample-reserves system. Removing it forces a choice between shrinking the balance sheet dramatically or tolerating volatile money markets — which is why any serious move in this direction would arrive packaged with the leverage-ratio relief and a redesigned operating framework. The packaging is the tell. If the June meeting, or the communication around it, pairs criticism of reserve remuneration with regulatory generosity toward bank holdings of government debt, the third path is being paved.

3.2 Why this changes gold's response function

For forty years, gold has traded primarily off the level and direction of real policy rates — the relationship in Exhibit 2. That relationship presumes a central bank free to set rates against inflation. The third path quietly suspends the presumption: yields stop being a market price of inflation risk and become a managed quantity, held down by regulation and plumbing while inflation runs where the supply shock takes it. In that regime the gap between inflation and yields — the variable gold feeds on — widens **by design rather than by accident**, and gold stops trading the level of rates and starts trading the integrity of the boundary between the central bank and the treasury.

History has run this experiment. From 1942 to 1951 the Federal Reserve pegged the entire Treasury curve to finance the war and its aftermath; when inflation surged past ten per cent in 1947, real yields collapsed to the most negative levels in American history, and the arrangement ended only with the Treasury–Fed Accord of 1951 — the document that created the modern boundary. In the 1970s the boundary held on paper but bent in practice, as the Fed under political pressure repeatedly declined to tighten ahead of elections; the decade's monetary subordination, more than any single embargo, is what carried gold from thirty-five dollars to eight hundred and fifty. The lesson is symmetrical and worth stating both ways: when markets came to believe the boundary had been restored — 1951, and again after 1980 — gold's great advances ended. When markets came to doubt it, they began.

What to listen for on 17 June: any reframing of interest on reserves as a 'subsidy'; any pairing of that language with leverage-ratio relief; remittance arithmetic presented as a virtue; balance-sheet language that emphasises composition (bills versus bonds) rather than size; tolerance language around supply-driven inflation; and any reference, however oblique, to coordination with the Treasury's issuance calendar. None of these would move the policy rate. All of them would move the boundary — and the boundary, not the rate, is what the gold market would reprice.

4. Anatomy of the Selling

The letter identified five sellers behind the correction; the deep dive adds the detail. The leveraged community entered 2026 with gold as one of its largest and most profitable exposures, accumulated through the 2024–25 advance and turbocharged by the December squeeze in silver. When volatility erupted across asset classes this spring, value-at-risk models demanded smaller books everywhere at once, and gold — liquid, profitable, crowded — was the natural source of cash, exactly as in 2008 and 2020. Trend-following systems, long at near-record levels into the January peak, reversed as their signals rolled over and continue to sell mechanically into weakness; their selling is price-insensitive and exhausts only when positioning saturates. Western ETF investors surrendered roughly eighty tonnes in a matter of weeks, the retail echo. And the novel seller: several oil-importing central banks, currencies strained by the energy shock, have liquidated part of their gold reserves to defend exchange rates — distress supply measured in the tens of tonnes, and tied by construction to the oil price that created it.

Beneath the mechanics sits the one fundamental seller: the investor responding to hawkish repricing — the prospect, discussed in Section 3, that the policy rate rises to meet the inflation. The composition matters because the record is unambiguous about it: declines dominated by forced and mechanical selling have historically reversed fastest, because once leverage is cleared and the systems are short, no seller remains beneath the market. The liquidations of 1974 and 2020 had exactly this shape. What converts a violent cleaning into a durable bear market is the fundamental seller staying in charge — which, again, is a question about real rates and the boundary, not about the conflict in the headlines.

5. The Structural Bid

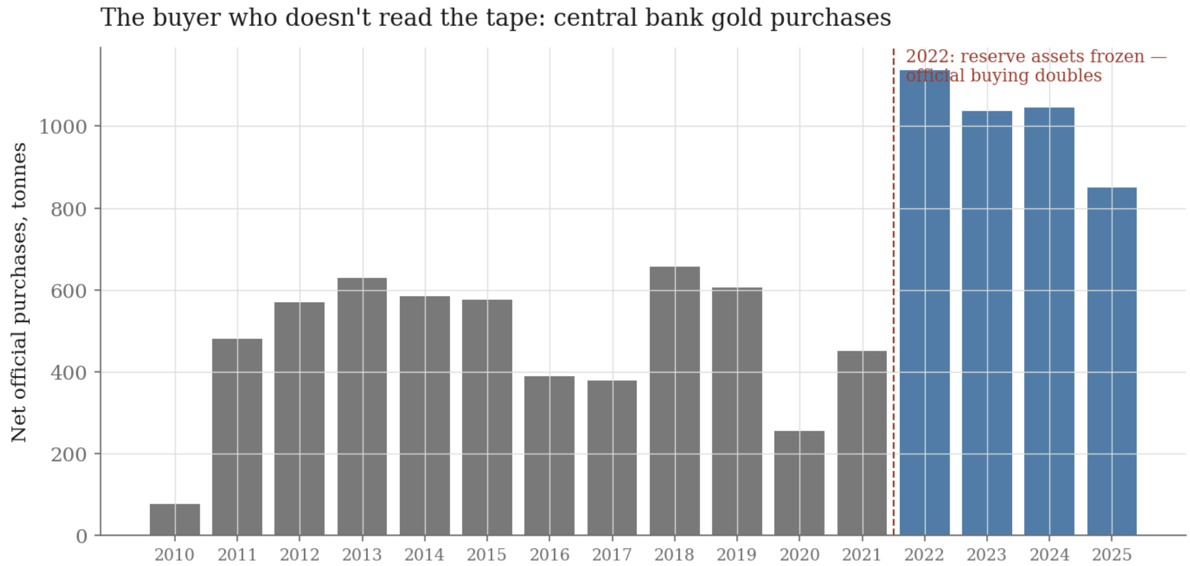

Exhibit 3 — Net central bank gold purchases, tonnes, 2010–2025. Indicative data: World Gold Council, author calculations.

Every previous episode in Exhibit 1 played out against an official sector that was selling gold or absent from it; through the 1990s, European central banks disposed of thousands of tonnes near the lows. The freezing of roughly three hundred billion dollars of Russian reserve assets in 2022 ended that world. Official purchases doubled to around a thousand tonnes a year and have held near that pace for four years; by late 2025 the gold held by non-US central banks exceeded the value of their US Treasury holdings, a crossover without precedent in the post-war monetary order. The present correction has, if anything, sharpened the picture: the sellers within the official sector are the distressed — those defending currencies against the oil shock — while the strategic accumulators have continued, with Chinese buying accelerating through the spring. A price-insensitive, strategically motivated buyer of several percent of annual supply existed in none of the eight prior episodes. It does not prevent corrections, as this one demonstrates. It changes what they fall onto.

6. The Technical Map

Macro frameworks say nothing about sequence. For that, professional desks lean on market structure — and the structure of the gold chart in June 2026 is unusually well-defined. The map below marks the levels that matter; the paragraphs that follow explain what each would signify, in the conditional language technicians use. Levels reference the COMEX futures chart and are approximate.

Exhibit 4 — Gold futures, indicative weekly closes, May 2025 – June 2026, with the principal technical zones. Author illustration; levels approximate.

6.1 The setup below: the spring

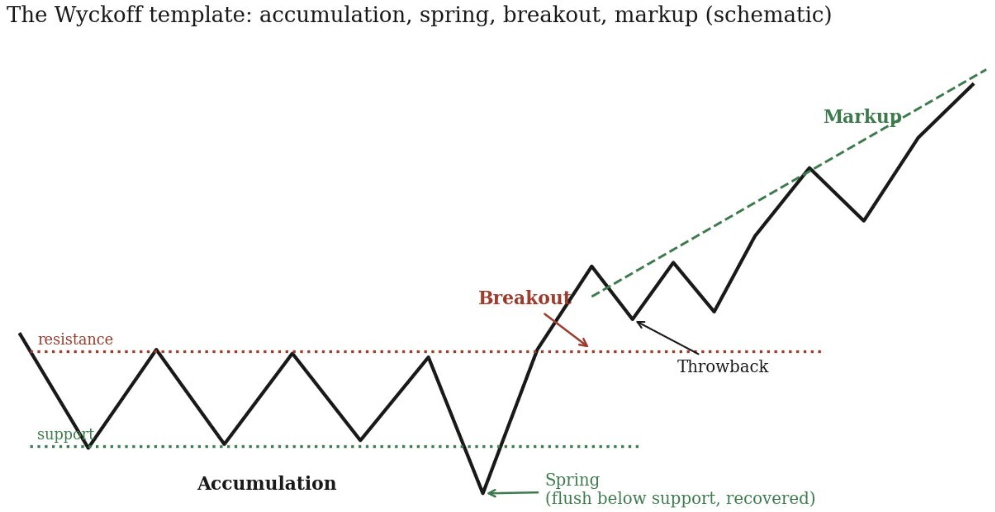

Exhibit 5 — The Wyckoff accumulation template (schematic, author illustration).

Price has spent three months building a range above the March lows around $4,100–4,155, with the market currently pressing the lower portion near $4,350. In the Wyckoff framework — the classic grammar of accumulation — the most constructive resolution of such a range is, counterintuitively, a final downside break that fails: a fast flush through the lows that finds no follow-through and is recaptured within days. Technicians call it a spring — the terminal shakeout that transfers the last weak hands to strong ones. Applied here: a high-velocity flush toward $4,100 followed by a recapture of $4,350 would complete that pattern, and desks following this framework regard such a sequence as the strongest form of confirmation a base can offer. Velocity is the discriminator throughout, and it connects directly to Section 4: forced selling is fast, fundamental selling is slow. A violent flush is the signature of the liquidation exhausting itself; a slow leak through the same level is the signature of the fundamental seller still in charge.

6.2 The work above: resistance and compression

Above the range, the first obstacle is the band of volume-weighted average prices anchored to the January and March highs, roughly $4,740–4,860 — the average entry of everyone who bought the top, and therefore the zone where recovery rallies meet supply from trapped longs, as the April rebound demonstrated. A recapture of that zone with velocity would change its meaning entirely, converting overhead supply into support. The constructive continuation from there is not an immediate run at the highs but a period of volatility compression in the $4,900–5,400 range — narrowing weekly bars, declining volume, energy building — the pattern that has historically preceded durable breakouts rather than the V-shaped surges that fail.

6.3 The line that changes the discussion

Symmetry requires the other side. Multiple weekly closes below the March lows — without the high-velocity capitulation that defines a spring — would invalidate the accumulation reading and convert the range into distribution. The next shelf of consequence in that case sits near $3,400: the breakout zone of spring 2025, and, not coincidentally, the area the macro sections of this document identify as where the structural bid thickens. The technical map and the monetary history, built independently, point at the same floor — which is usually what a level looks like when it matters.

7. What Would Change the Picture

Intellectual honesty requires naming the conditions under which the constructive reading fails, and 1991 supplies them precisely: real interest rates that are positive and rising, an energy shock that reverses quickly, a fiscal position that improves, and a monetary-fiscal boundary that markets regard as inviolable. All four held in 1991; gold went nowhere for a decade. Their modern equivalents would be: the policy rate rising decisively above inflation and staying there; oil retracing the entire conflict premium; credible deficit reduction; and a June Federal Reserve that strengthens rather than softens the boundary described in Section 3. These are observable conditions, not predictions — and watching them is a more useful discipline than watching the headlines. The letter closed with the same thought that should close the deep dive: the long view exists so that, when the pattern resolves, it arrives as recognition rather than surprise.